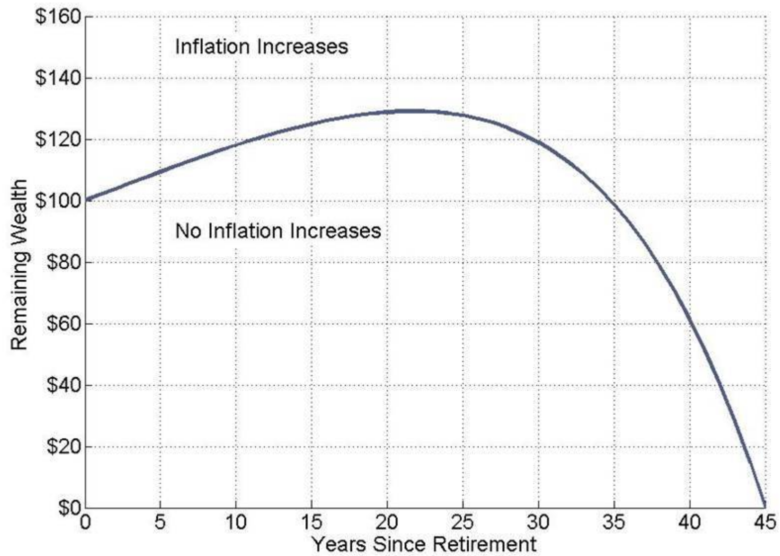
Wealth Glide Path
Assuming $4 Spending with 3% Inflation and a 45-Year Planning Horizon



Zolt looks at a number of different ways to adjust spending at a slower rate when wealth is falling below its glide path level. He sought spending rules that would allow a larger increase in initial spending with a lower expected subsequent decrease in real purchasing power over time. From the tables in his paper, the spending rule that looks most favorable—and that I will treat as a baseline representation of his approach—is to keep spending level, with no partial inflation adjustment when wealth falls below the glide path. In any year when remaining wealth is higher than the critical number from the glide path, spending adjusts for inflation. However, in any year that wealth falls below that number, no inflation adjustment is made. Throughout retirement, sometimes spending adjusts for inflation, and sometimes it stays fixed. Exhibit 6.14 illustrates how this rule performed in the historical data when using the glide path defined earlier.

Exhibit 6.14
Time Path of Real Spending and Wealth
Zolt's Target Percentage Adjustment Rule
For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements